

UNIT 1: INTRODUCTION TO ELECTRONIC COMMERCE

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Module Structure

- Semester : VI
- Nature of the Course
 - Theory + Lab + Assignments
- Full Marks : 60 + 20 + 20
- Pass Marks : 24 + 8 + 8
- Credit Hours : 3

Introduction

- Electronic commerce (e-commerce) remains a relatively new, emerging and constantly changing area of business management and information technology.
- E-commerce is digitally enabled commercial transactions among organizations and individuals.
- Digitally enabled transactions include all transactions mediated by digital technology e.g. Internet
- Commercial transactions involve the exchange of value (e.g., money) across organizational or individual boundaries in return for products and services
- Exchange of value is important for understanding the limits of e-commerce. Without an exchange of value, no commerce occurs



Introduction

- Some of the definitions of e-commerce often heard and found in publications and the media are:
 - Electronic Commerce (EC) is where business transactions take place via telecommunication networks, especially the Internet
 - Electronic commerce describes the buying and selling of products, services, and information via computer networks including the Internet.
 - Electronic commerce is about doing business electronically.
 - E-commerce is defined as the conduct of a financial transaction by electronic means



E-COMMERCE

- It is commonly known as electronic marketing.
- It consist of buying and selling goods and services over an electronic system such as the internet.
- E-commerce is the purchasing , selling & exchanging goods and services over computer network or internet through which transactions or terms of sale are performed electronically.

- Examples of Ecommerce

- **Online shopping**

Online Shopping occurs when a customer buys through a digital platform. If you buy something from online, for example, retail giant Amazon (Retail Giant Store), you are online shopping.

- **Internet Banking**

We also call it online banking. Nearly all banks today offer services through their website. We can transfer money, apply for an overdraft facility, and pay off our credit cards online. An overdraft facility is an arrangement with the bank in which your account may be in debit. We can also apply for loans and even mortgages on some websites.

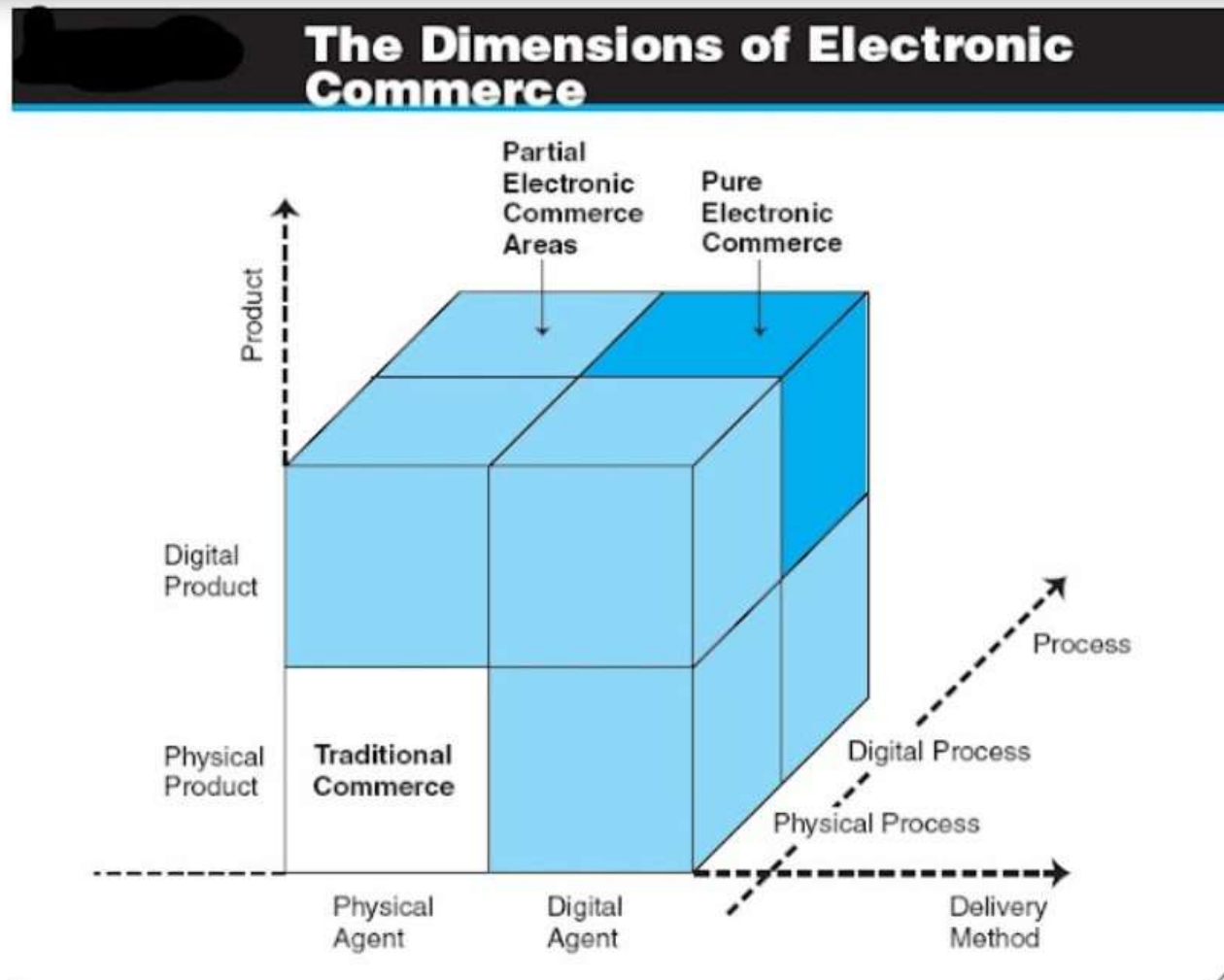
Pure Vs. Partial E-commerce

- Pure E-electronic commerce refers to a situation where a business transacts its business activities PURELY online. that is, the goods or services sold do not have any physical presence take a business that sells software, for example, you just pay and download, or one that sells music files online.
- Partial E-Commerce on the other hand refers to a slightly opposite situation where a business has an online presence, but still has a physical location for the goods and services it sells. For example, Amazon, Walmart, and any other you can think of. you buy the goods online but receive them physically.

OR,

- Partial e-commerce is when a company will sell a good through the internet but the fulfillment of goodwill needs to take place in the "real" world. E.g. buying a book on Amazon, they will have to send it to you physically.
- Pure e-commerce is when everything happens on the internet. E.g. buying music/movies on iTunes.

Pure Vs. Partial E-commerce



E-business

- E-business is similar to E-commerce but it is more than just a simple act of buying and selling services or goods online. In fact, it is the method of utilizing digital information and advanced communication technologies to streamline different business processes – from the initial to implementation phase.
- Electronic commerce focuses on the use of information and communication technology to enable the external activities and relationships of the business with individuals, groups, and other businesses, while e-business refers to business with help of the internet.
- Electronic business differs from electronic commerce as it does not only deal with online transactions of selling and buying of a product and/or service but also enables to conduct of business processes (inbound/outbound logistics, manufacturing & operations, marketing and sales, customer service) within the value chain through internal or external networks.
- E-business includes a lot of business processes including online order processing, CRM (Customer Relationship Management), supply chain management and many more. Ecommerce is a part of e-business.

Components of E-Business

- The core components of e-business are information, communication, and transaction. Apart from them E-business has several components including BI (Business Intelligence), CRM (Customer Relationship Management), ERP (Enterprise Resource Planning), SCM (Supply Chain Management), Collaboration, online activities, and electronic transactions within the firm etc.
- **Business intelligence**
- Business intelligence is about the activities that a small business may undertake to collect, store, access, and analyse information about its market or competition to help with decision making. When conducted online, BI is efficient and quick, helping companies to identify noteworthy trends and make better decisions faster.
- **Customer relationship management (CRM)**
- CRM refers to a customer service approach that focuses on building long-term and sustainable customer relationships that add value for the customer and the company. It is a company-wide strategy that brings together information from all data sources within an organization (and sometimes from external data sources) to give one holistic view of each customer in real time. The goal is to reduce costs and increase profitability while providing customer satisfaction

Components of E-Business

- **Supply chain management (SCM)**

Every small business has a supply chain, the network of vendors that provide the raw components that are needed to make a product or deliver a service. The management of this network is known as supply chain management (SCM). Efficiently and effectively improving the way that a company finds raw components and then delivers the product or the service to the customer; SCM is about efficiently and effectively improving the way that a company finds those raw components and then delivers the product or the service to the customer.

- **Enterprise resource planning (ERP)**

ERP is about integrating all departments and functions across a company (sales, marketing, human resources, finance, accounting, production, engineering, etc.) into a single computer system that can serve the particular needs of each department. The objective is to provide information quickly and efficiently to those who need it. Small businesses have many vendor choices for ERP systems. There are more than thirty vendors in the field, and they are looking to small and midsize businesses as their primary growth market.

Areas of e-business:

- **E-procurement:** It is also known as supplier exchange in which business to business, business to government, business to consumer, and sales of services are made with the help of the internet. Basically, e-procurement is a way adopted by the companies to reduce the costs and efforts by sourcing products or services electronically. E-procurement is the process of buying and selling supplies and services over the Internet. It differs from e-commerce in that it makes use of a supplier's closed system typically available only to registered users. When implemented properly, e-procurement opens the lines of communication between a company and a supplier by creating a direct link and facilitating interactions such as bids, purchase orders and emails.

Areas of e-business:

- **Online stores:** It is an electronic sourcing (website or application) for products or services, such as online shopping stores. Online stores are also known as e-shop, internet shop, web-store, virtual store, web-shop, m-commerce, and online storefront.
- **Online marketplaces:** It is an electronic commerce that connects the buyers and suppliers to the services or products over the internet. The operator of an online marketplace only presents the inventory of other people and provides the transaction facility. An online marketplace is an e-commerce site that connects sellers with buyers. It's often known as an electronic marketplace and all transactions are managed by the website owner. Companies use online marketplaces to reach customers who want to purchase their products and services. Examples of online marketplaces include Amazon, eBay, and Craigslist.

Areas of e-business:

- **Online communities:** An online community is simply a group of people coming together for a common purpose, interest, or vision, and doing so via the internet. Online communities typically use chat rooms, mailing lists, and forums as their primary mode of interaction. Or it can be said that, electronic communication network between individuals and organizations, which supports data and knowledge sharing as well as the preparation of transaction decisions.
- **Online companies:** Electronic business cooperation for connecting individual company services, resulting in a virtual business with a common transaction offer.

Difference between e-business and e-commerce are given below

- **E-business**

1. E-business is the use of internet technologies to empower business processes, ecommerce and enterprise communication and collaboration within a company and its various stockholders.
2. E-Business refers to performing all type of business activities through internet.
3. The scope of e-business is wider than that of e-commerce.
4. E-business empowers business process, e-commerce, enterprise communication and collaboration.
5. E-business uses internet for empowering business process, e-commerce enterprise communication, and collaboration.
6. It includes activities like procurement of raw materials/goods, customer education, supply activities buying and selling product, making monetary transactions etc over internet.

Difference between e-business and e-commerce are given below

- **E-commerce**

1. E-commerce is the buying and selling, marketing and servicing and delivering and payment of products, services, and information over the internet, intranets, extranet and other networks between an enterprise and its customer, suppliers, and business partners.
2. E-Commerce refers to the performing online commercial activities, transactions over internet.
3. The scope of e-commerce is limited than that of e-business.
4. E-commerce is a part of e-business.
5. E-commerce uses internet for buying, selling, marketing, servicing and delivering and payment of product, services, and information.
6. It includes activities like buying and selling product, making monetary transactions etc over internet.

Difference between E-Commerce and E-Business

- E-Commerce refers to the performing online commercial activities, transactions over internet. Internet is used for E-commerce. Websites and applications (apps) are required for e-commerce. it is mainly connected with the end process of flow means connected with the end customer.
- **Examples** of E-Commerce are online retailers like amazon, flipkart, Myntra, paytm mall, seller of digital goods like ebooks, online service etc.
- Whereas, E-Business refers to performing all type of business activities through internet. It includes activities like procurement of raw materials/goods, customer education, supply activities buying and selling product, making monetary transactions etc over internet. Internet, intranet, extranet are used in e-business. Websites, apps, ERP, CRM etc are required for e-business. **Examples** of E-Business are e-commerce companies and its various internal business activities, auction site, classified site, software and hardware developer site etc.

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Activities of E-Commerce are :

- Buying and selling product online
- Online ticketing
- Online Payment
- Paying different taxes
- Online accounting software
- Online customer support

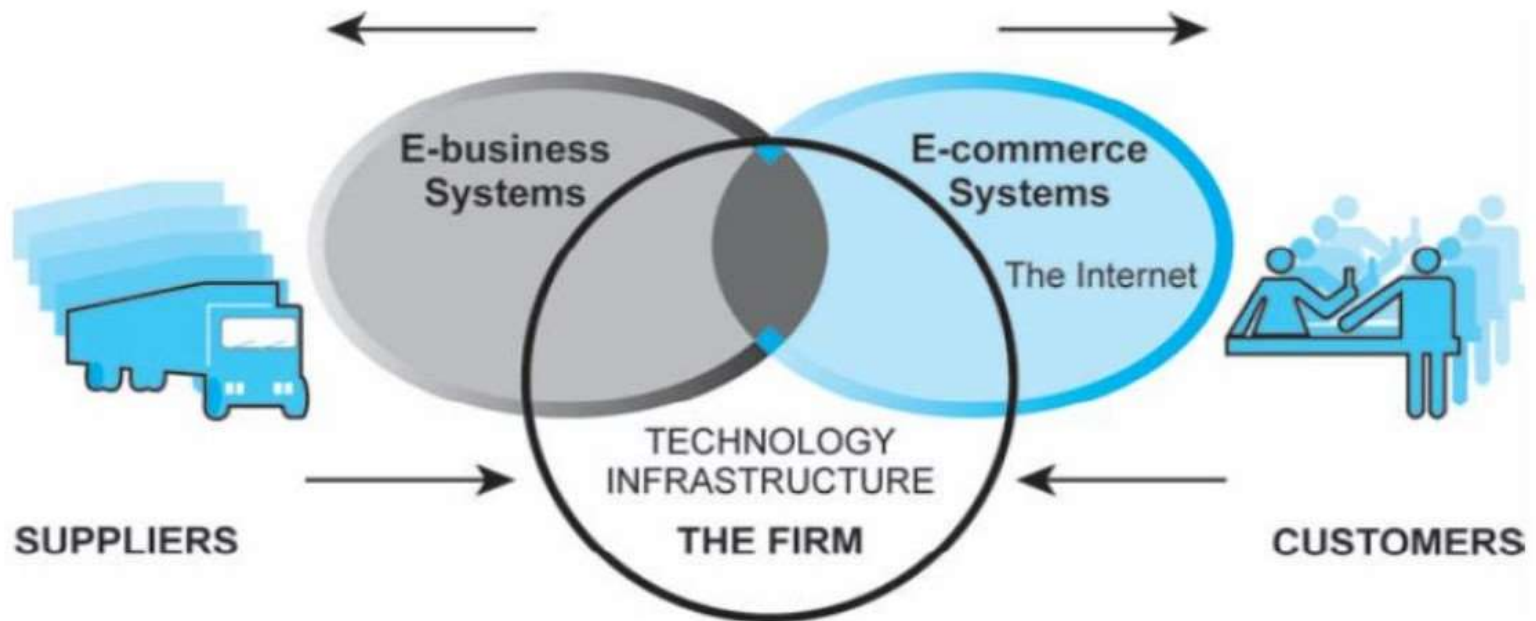
Activities of E-Business are :

- Online store setup
- Customer education
- Buying and selling product
- Monetary business transaction
- Supply Chain Management
- E-mail marketing

- E-Commerce is a narrow concept, and it is considered as a subset of E-Business. Whereas, E-Business is a broad concept and it is considered as a superset of E-Commerce.
- E-commerce is more appropriate in Business to Customer (B2C) context. E-business is more appropriate in Business to Business (B2B) context.
- E-Commerce covers outward/external business process. E-Business covers internal as well as external business process/activities.

FIGURE 1.1

**THE DIFFERENCE BETWEEN E-COMMERCE
AND E-BUSINESS**



Advantages of E-commerce

There are many advantages to e-commerce, including:

- **Increases Sales and Revenue**

E-commerce always helps to increase sales and revenue as it widens the market by reaching out to new customers. It also allows businesses to offer discounts and incentives that are not possible in a physical store. There are also many opportunities for cross-selling and up-selling.

- **Reduces Costs**

E-commerce also helps reduce business costs as it eliminates the need for a physical store and sales staff. It also reduces inventory costs and transportation costs. There are also many opportunities for cost-saving through online auctions and supply chains.

- **Eliminates Geographic Barriers**

E-commerce also eliminates geographic barriers, as customers can buy goods and services from anywhere in the world. This allows businesses to sell to new markets and expand their customer base. It may also help to reduce the cost of doing business.

Advantages of E-commerce

- **Improves Customer services**

This is because e-commerce allows businesses to offer 24/11 customer service, which is not possible in a physical store. It also allows customers to compare prices and products from different retailers easily. Sometimes there are also additional services, such as customer reviews and ratings, that are not available in a physical store.

- **Increases Efficiency**

Efficiency is increased as orders can be placed and processed quickly and easily through an e-commerce website. This eliminates the need for paperwork and reduces the chances of human error. It also allows businesses to track inventory levels and sales trends in real-time.

Disadvantages of E-commerce

However, there are also some disadvantages to e-commerce, including:

- **Lack of Social Interaction**

One disadvantage is that there is a lack of social interaction, as people cannot see or touch the product before they buy it. This may lead to dissatisfaction with the purchase if the product is not what was expected.

- **Security Risks**

Another disadvantage is that there are security risks, as sensitive financial information can be stolen by hackers. This can result in loss of money and identity theft. There may also be risks involved with buying and selling products online, as there is no guarantee of product quality or authenticity.

Disadvantages of E-commerce

- **Difficulties with Returns**

Another disadvantage is that it can be difficult to return products that have been bought online. This is because businesses often require the product to be returned in its original packaging, which may not be possible if the product has been used. There may also be shipping costs involved in returning the product.

- **Lack of Trust**

There may be a lack of trust among consumers when it comes to buying goods and services online. This is because they may be afraid of being scammed or not receiving the product that they ordered.

Disadvantages of E-commerce

1. The start-up costs of the e-commerce portal are very high. The setup of the hardware and the software, the training cost of employees, the constant maintenance and upkeep are all quite expensive.
2. Although it may seem like a sure thing, the e-commerce industry has a high risk of failure. Many companies riding the dot-com wave of the 2000s have failed miserably.
3. At times, e-commerce can feel impersonal. So it lacks the warmth of an interpersonal relationship which is important for many brands and products. This lack of a personal touch can be a disadvantage for many types of services and products like interior designing or the jewelry business.
4. Security is another area of concern. Only recently, we have witnessed many security breaches where the information of the customers was stolen. Credit card theft, identity theft etc. remain big concerns with the customers.
5. Then there are also fulfilment problems. Even after the order is placed there can be problems with shipping, delivery, mix-ups etc. This leaves the customers unhappy and dissatisfied.

E-commerce Trends

- There are several current trends in e-commerce, including:

- **The Rise of Mobile Commerce**

One trend is the rise of mobile commerce, as more people are shopping on their smartphones and tablets. This is because it is convenient and easy to use, and there are many apps that make shopping online easier.

- **The Emergence of Social Commerce**

Another trend is the emergence of social commerce, which involves buying and selling products through social media platforms such as Facebook and Twitter. This allows businesses to reach a large number of potential customers.

- **The Growth of E-commerce in Developing Countries**

A third trend is the growth of e-commerce in developing countries, as more people have access to the internet and are becoming comfortable with buying goods and services online. This provides opportunities for businesses to expand their customer base.

Limitations of E-Commerce

1. Security:

One of the main limitations of ecommerce is security. In most cases, people are hesitant to provide their personal and financial details in spite of advanced data encryption security systems in place. Moreover, there are some websites that do not have the capability and features installed to authenticate transactions. As such, there are instances of [fraudulent activities](#). The fear of providing financial information like credit card details hinders the [growth of eCommerce](#).

2. Lack of Privacy:

To some extent, the privacy of a customer is compromised in eCommerce. You need to provide your personal details, such as address, telephone number, and so on to the seller. There are still lots of sites that do not have the advanced technology to protect sensitive information. Moreover, there are also sites that illegally collect consumer statistics without permission. This is one reason why people get skeptical while using ecommerce.

3. Tax Issue:

In case of different geographical locations, sales tax becomes an issue. Many a time sellers have faced problems in the computation of sales tax. Moreover, physical stores have a risk of losing business if online transactions are exempted from taxation.

Limitations of E-Commerce

4. Fear:

In spite of popularity, there still resides an element of doubt in the mind of people when it comes to online shopping. This is because the customer cannot physically examine the product and is not sure about the features and attributes. This is why a lot of people prefer shopping from physical stores.

5. Product Suitability:

As already mentioned, it is not possible for people to physically examine the product in ecommerce. In many cases, the original product may not match with the picture or specifications in the ecommerce site. This absence of 'touch and feel' creates a discouraging effect.

6. Technical Limitations:

Ecommerce requires advanced technology platforms for better performance. Some limitations, such as lack of proper domain, network and software issues and so on can affect the seamless performance of an ecommerce site.

Seven Unique Features of E-Commerce

1. Ubiquity

- In traditional commerce, a marketplace is restricted i.e. we can be in limited physical area to buy or sell.
- Whereas E-Commerce is ubiquitous meaning that it is available just about everywhere, at all times.
- It make possible to shop from your desktop, at home, at work or even from your car, using mobile commerce.
- The result is called a market space - a marketplace extended beyond traditional boundaries and removed from a temporal and geographic location.
- From a consumer perspective, ubiquity reduces transaction costs – the costs of participating in a market.
- To transact, it is no longer necessary that you spend time and money traveling to a market

Seven Unique Features of E-Commerce

2. Global Reach

- Unlike traditional commerce, e-commerce technology permits commercial transaction to cross cultural and national boundaries far more conveniently and cost effectively.
- As a result, the potential market size for e-commerce merchants is roughly equal to the size of the world's online population

3. Universal Standards

- One strikingly unusual feature of e-commerce technologies is that the technical standards of the Internet, and therefore the technical standards for conducting e-commerce, are universal standards – they are shared by all nation around the world.
- In contrast, most traditional commerce technologies differ from one nation to the next.
- For instance, television and radio standards differ around the world.
- The universal technical standards of e-commerce greatly lower market entry cost – the cost merchants must pay just to bring their goods to market

Seven Unique Features of E-Commerce

4. Richness

- With the use of e-commerce technology merchant can present their message in effective way.
- Information richness refers to the complexity and content of the message

5. Interactivity

- E-Commerce technologies are interactive, meaning they allow two-way communication between merchant and consumer.
- Television, for instant, cannot ask the viewer any questions, enter into a conversation with a viewer, or request customer information be entered into a form.
- In contrast, all of these activities are possible on an e-commerce Web site.
- Interactivity allows an online merchant to engage a consumer in a ways similar to a face-to-face experience, but on a much more massive, global scale

Seven Unique Features of E-Commerce

6. Information Density

- The Internet and the Web vastly increase information density - the total amount and quality of the information available to all market participants, consumers and merchants alike.
- E-commerce technologies reduce information collection, storage, processing and communication costs.
- At the same time, these technologies increase greatly the accuracy and timeliness of information - making information more useful and important than ever.
- As a result, information becomes more plentiful, cheaper and of higher quality

7. Personalization / Customization

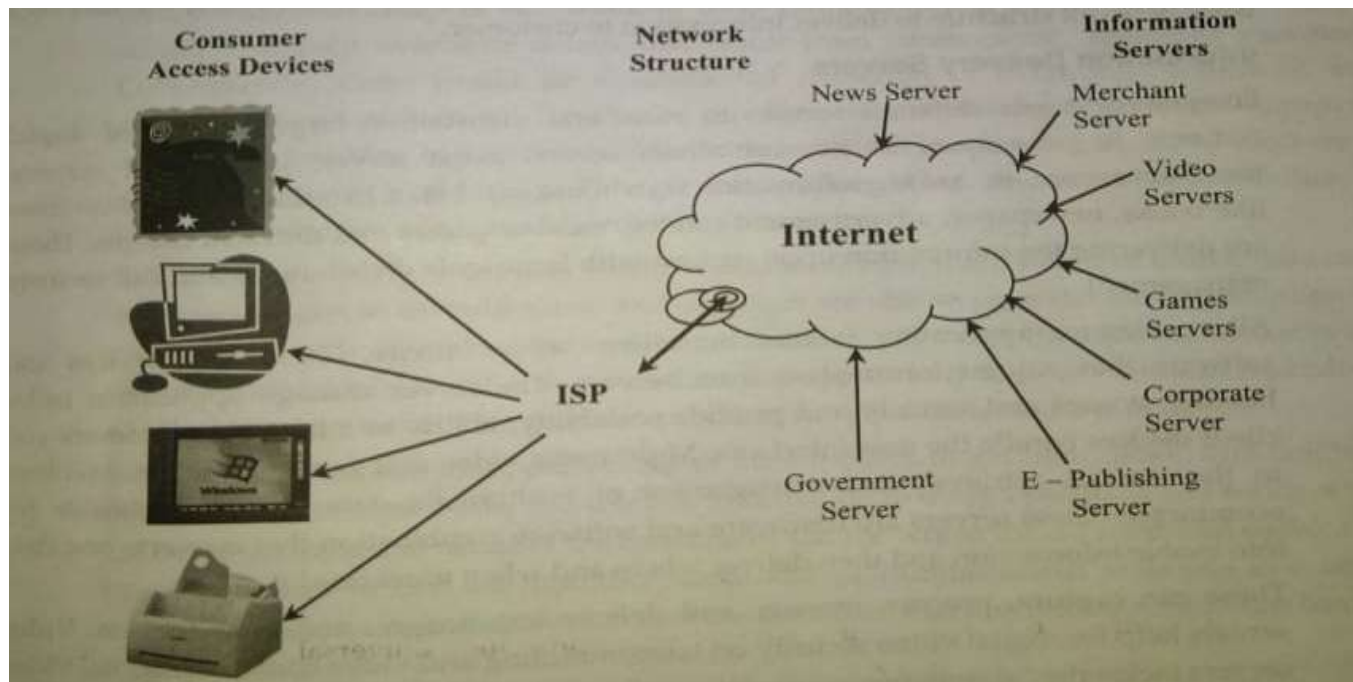
- E-commerce technologies permit personalization: Merchants can target their marketing message to specific individuals by adjusting the message.
- The technology also permits customization - changing the delivered product or service based on a user's preference or prior behavior

History of E-commerce

- Most of us have shopped online for something at some point, which means we've taken part in e-commerce. So it goes without saying that e-commerce is everywhere. But very few people may know that e-commerce has a history that predates the internet.
- E-commerce actually goes back to the 1960s, when companies used an electronic system called the Electronic Data Interchange to facilitate the transfer of documents. It wasn't until 1994 that the very first transaction took place. This involved the sale of a CD between friends through an online retail website called NetMarket.
- The industry has evolved rapidly since then, with companies like [Alibaba](#) and [Amazon](#) becoming household names around the world. The introduction of free shipping, which, at least on the surface, reduces costs for consumers, has also helped increase the popularity of the e-commerce industry.

Elements of E-commerce

- Ecommerce application become popular but needs the very high infrastructure. In Nepal we are using the Nepal Telecommunication network and some other network as a backbone of the e-commerce application. Ecommerce especially use the web based “Virtual Shop”.



Elements of E-commerce

1) Consumer Access devices

Consumer can access the ecommerce system through existing telecom, personnel computer, mobile, multimedia PCs or televisions, telephone etc. To access audio and video consumer must use the personnel computer, mobile computers, DVD ROM-equipped computer.

2) Network structure/ Virtual Market Place

Information delivery and transport provides telecommunication, cable and wireless infrastructure. Computer network including commercial network, such as CompuServe or American Online and public network such as internet.

In Nepal telecommunication is popularly used as transport media.

Different wireless media like microwave satellite used to deliver information a used ecommerce. Different banks and other e services providers are using Internet as a basic network structure to deliver information to customer.

Elements of E-commerce

3) Information Delivery Servers

Ecommerce needs different servers to store and distribution large amount of digital contents to consumer. These multimedia server, game server, government server, merchant server, etc. are big information warehouse capable of handling different contents like books, newspaper, advertisement catalog, movies, games and different images.

All ecommerce application follows the client-server model. Clients are devices and software that request information from servers. The server manage application tasks, handle storage and security and provide scalability, ability to add more customers and client devices handle the user interface.

E - Commerce Types

- **Business - to - Customer(B2C)**

- online sale of a products or services from a business to an end-consumer
- Eg. Amazon, Daraz etc

- **Business - to - Business(B2B)**

- sale of goods or services between businesses electronically
- improve the efficiency and effectiveness of a company's sales efforts

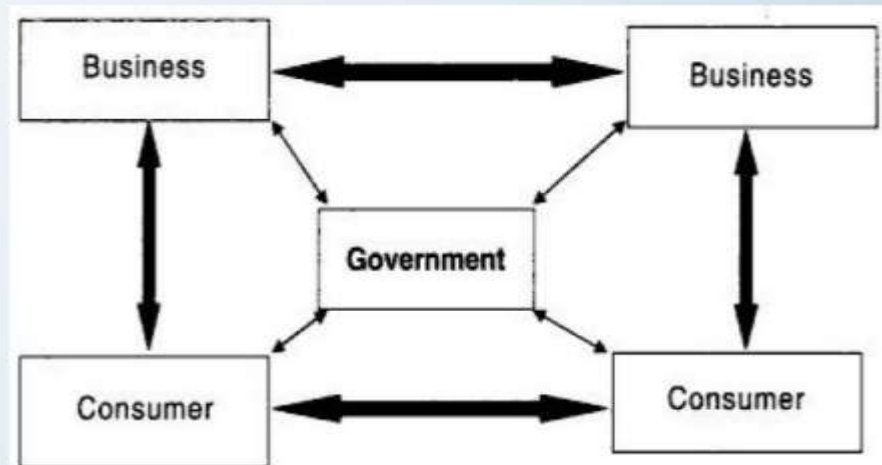


Fig. 2.4 E-business transaction model.

E - Commerce Types

- **Business-to-Government(B2G)**

- Businesses selling to local, state and federal agencies
- Eg. igov.com

- **Customer-to-Customer(C2C)**

- Customers sell directly to other customers electronically
- Eg. ebay.com, hamrobazar

- **Customer-to-Business(C2B)**

- customers offer products or services to businesses
- Eg. priceline.com

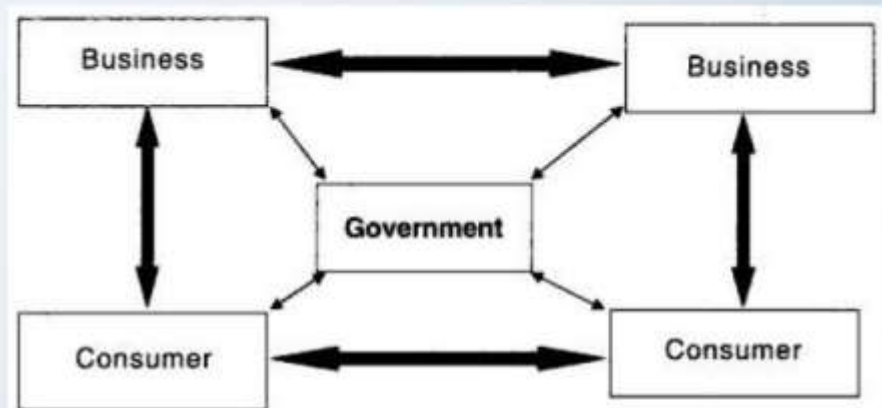


Fig. 2.4 E-business transaction model.

Types of E-commerce

1. Business-to-Business (B2B)

- Business-to-Business (B2B) e-commerce encompasses all electronic transactions of goods or services conducted between companies. Producers and traditional commerce wholesalers typically operate with this type of electronic commerce.

2. Business-to-Consumer (B2C)

- The Business-to-Consumer type of e-commerce is distinguished by the establishment of electronic business relationships between businesses and final consumers. It corresponds to the retail section of e-commerce, where traditional retail trade normally operates.
- These types of relationships can be easier and more dynamic, but also more sporadic or discontinued. This type of commerce has developed greatly, due to the advent of the web, and there are already many virtual stores and malls on the Internet, which sell all kinds of consumer goods, such as computers, software, books, [shoes](#), cars, food, financial products, digital publications, etc.
- When compared to buying retail in traditional commerce, the consumer usually has more information available in terms of informative content and there is also a widespread idea that you'll be buying cheaper, without jeopardizing an equally personalized customer service, as well as ensuring quick processing and delivery of your order.

3. Consumer-to-Consumer (C2C)

- Consumer-to-Consumer (C2C) type e-commerce encompasses all electronic transactions of goods or services conducted between consumers. Generally, these transactions are conducted through a third party, which provides the online platform where the transactions are actually carried out.

Types of E-commerce

4. Consumer-to-Business (C2B)

- In C2B there is a complete reversal of the traditional sense of exchanging goods. This type of e-commerce is very common in crowdsourcing based projects. A large number of individuals make their services or products available for purchase for companies seeking precisely these types of services or products.
- Examples of such practices are the sites where designers present several proposals for a company logo and where only one of them is selected and effectively purchased. Another platform that is very common in this type of commerce are the markets that sell royalty-free photographs, images, media and design elements, such as [iStockphoto](#).

5. Business-to-Administration (B2A)

- This part of e-commerce encompasses all transactions conducted online between companies and public administration. This is an area that involves a large amount and a variety of services, particularly in areas such as fiscal, social security, employment, legal documents and registers, etc. These types of services have increased considerably in recent years with investments made in e-government.

E-Commerce Framework

- The term **e-commerce framework** is related to software frameworks for e-commerce applications. They offer an environment for building e-commerce applications quickly. E-Commerce frameworks are flexible enough to adapt them to your specific requirements. As result, they are suitable for building virtually all kinds of online shops and e-commerce related (web) applications.
- The first part consists of a variety of electronic commerce applications including both inter- and intra-organizational and electronic market. Such as Supply Chain Management, Video-on-Demand, Procurement and purchasing, On-line marketing and advertising, Home shopping etc.
- The second part of the building blocks of the infrastructure consists of :
 1. **Common business services**, for facilitating the buying and selling process
 2. **Messaging and information distribution**, as a means of sending and retrieving information (ex-EDI, e-mail, P2P file transfer)
 3. **Multi-media content and network publishing**, for creating a product and a means to communicate about it.
 4. **Information Superhighway infrastructure** consisting of telecommunication, cable operator, ISPs , Wireless technologies and Internet .

E-Commerce Framework

- The third part consists of the public policy and technical standards necessary to support the applications and the infrastructure
- Public policies govern issues like universal access, privacy, and information pricing. The public policy infrastructure affects not only the specific business but also direct and indirect competitors. It should take into consideration of :
 - Cost of accessing information
 - Regulation to protect consumers from fraud and protect their right to privacy.
 - Policies of global information traffic to detect information pirating and obscene sites
- Technical Standards governs issues like technology for communication and as well as for Internet.

E-Commerce Framework

- framework for e-Commerce consists of three parts as shown in below figure



M-Commerce

- M-commerce (mobile commerce) is the buying and selling of goods and services through wireless handheld devices such as smartphones and tablets. M-commerce is a form of [e-commerce](#) that enables users to access online shopping platforms without the use of a desktop computer.
- Example of m-commerce include in-app purchasing, mobile banking, virtual marketplace apps like the Amazon mobile app or a digital wallet such as Apple Pay, Android Pay and Samsung Pay.



Ubiquitous Commerce (U - Commerce)

- The ultimate form of e-commerce and m-commerce in an ‘anytime, anywhere’ fashion.
- It involves the use of ubiquitous networks to support personalized and uninterrupted communications and transactions at a level of value that far exceeds traditional commerce.
- U commerce is the concept that buyers and sellers have the potential to interact anywhere, anytime with the use of wireless devices, such as smartphones by buyers to connect with sellers via the Internet where orders can be placed online and payments can be made via credit card or e-wallets.

Social commerce

- Social commerce is a rapidly growing branch of e-commerce that uses social networks and digital media to facilitate transactions between businesses and customers.
- Social commerce involves the entire shopping experience over social media sites like Facebook, Instagram, and the X platform (formerly Twitter). This means products and services are marketed on these sites, which allow consumers to browse, shop, and make purchases.
- Social commerce makes online shopping even easier by allowing users to quickly make purchases within a social media platform.

E-commerce Challenges

1. Growing competition

Competition in the market is a fierce e-commerce challenge that entrepreneurs face. With so many businesses competing for customers' attention, it can take time to stand out from the crowd. Nevertheless, with a bit of strategic planning and creative thinking, you can make your business thrive in spite of tough competition.

2. Increased customer expectations

Keeping up with the ever-increasing customer expectations is energy intense but vital. With so many options available online, customers expect more from their shopping experiences than ever before. From personalized recommendations and fast shipping to seamless checkout processes and reliable service, customers now demand a lot from online retailers. And if their needs aren't met, they won't hesitate to go somewhere else.

E-commerce Challenges

3. Low conversion rates

Convincing visitors to purchase something from your store is one of the biggest challenges of e-commerce. After all, there are a lot of other stores out there offering similar products and services. But how to capture customers' attention and make them feel like they're getting a unique offer?

4. Complicated process of product return & refund

Product returns are a usual thing in e-commerce so be ready to deal with this e-commerce challenge wisely. Sometimes it's difficult to keep track of all the returns, refunds, and exchanges that customers make on their purchases. But your duty is to provide an excellent shopping experience and keep the business financially viable in the long run.

5.Data security gaps

In today's digital world, data security is among e-commerce problems that can't be ignored or neglected. With the rise of online stores, issues such as data breaches and identity theft have become major concerns for customers. As an e-commerce business, it's your responsibility to ensure that customer data is safe from malicious actors.

E-commerce Challenges

6. Challenging search for a reliable tech partner

Finding a reliable [software development company](#) for your e-commerce business can be an overwhelming task and one more challenge. With so many options out there, it can be hard to know who can handle the critical task of creating an e-commerce application that works for you and meets your customer's expectations.

7. The headache of product return and refund

Product returns are a usual thing in e-commerce so be ready to deal with this e-commerce challenge wisely. Sometimes it's difficult to keep track of all the returns, refunds, and exchanges that customers make on their purchases. But your duty is to provide an excellent shopping experience and keep the business financially viable in the long run.

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Status of E-Commerce in Nepal

- In past recent years due to education and reach to Internet among the many people in Nepal has brightened the future of E-commerce.
- The interest of students in the field of IT and the growth of IT companies has helped a lot in the awareness and interest in youths for Internet and IT.
- This has directly created more opportunities to uplift E-Commerce in Nepal.
- It is noted that 63% of total population uses internet service in Nepal.
- This status proves that there is a good scope of E-Commerce in Nepal
- With the introduction of new technologies, digital stores and interactive apps, there is a big boost in sector of e-commerce.
- Many online portals and shopping portals are being launched.
- They are doing good business along with providing the best services.

Status of E-Commerce in Nepal

- They provide festival offers and various discounts to customers.
- A large number of people in Nepal stills think twice before purchasing online. Despite of the technological advancement, security is still a concern in people's mind.
- Various frauds and scams are hampering the growth of e-commerce in Nepal.
- Some of the successful companies playing a vital role in the growth of this industry are mentioned below:
 1. Kaymu(www.daraz.com.np)
 2. Sastodeal(www.sastodeal.com)
 3. Foodmandu(www.foodmandu.com)
 4. Muncha(www.shop.muncha.com)
 5. Metrotarkari (www.metrotarkari.com)

Overview of Electronic Transaction Act of Nepal

- ETA (Electronic Transaction Act) deals with issues related to cybercrime and also help in making and implementing laws over cybercrime.
- It has made different requirements so that if anyone found having cybercrime, he/she will be punished according to the scene of the crime.
- He /she can be jailed for minimum from 6 months to a maximum of 3 years and has to pay the penalty according to the offense.
- However, the cybercrime has been overgrowing in Nepal because of an inadequate tracking system and the advancement needs still to build like in other developed countries.
- The lack of proper updates of ETA, the hackers again hack the governmental confidentiality.
- ETA yet hasn't adequately addressed Online payment, due to which we still don't have a fast and reliable online payment system too. [ref : ictframe.com]